

US equities rally on tech earnings and easing inflation data

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,743.41, up **+0.51%**, driven by a second-day surge in mega-cap tech after **MSFT** and **NVDA** posted better-than-expected earnings. The rally spilled into the Dow Jones (**+0.93%**) and Nasdaq-100 (**+0.42%**), while the VIX fell to 14.87, the lowest level since early 2025, signalling reduced near-term volatility.

Behind the headline numbers, the market is pricing in a softer inflation outlook: the 10-year Treasury yield slipped to 5.18% (+0.43%) and the DXY weakened to 100.97 (-0.32%). Commodity weakness (WTI -2.33%) and a modest rise in gold (**+0.54%**) reinforce the view that the Fed may pause rate hikes after the September meeting.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,743.41	+0.51%	Tech earnings beat and easing inflation expectations.
Nasdaq 100	30,608.13	+0.42%	Strong results from MSFT and NVDA .
Dow Jones	51,828.62	+0.93%	Broad-based industrial gains, especially in financials.
Russell 2000	2,837.55	+0.07%	Neutral, offset by mixed small-cap earnings.
VIX	14.87	-5.11%	Lower volatility after clear earnings direction.
10Y Yield	5.18%	+0.43%	Yield curve flattening, markets pricing a Fed pause.
WTI Crude	92.41	-2.33%	Oversupply concerns in Gulf, weaker demand outlook.
Gold	4,321.20	+0.54%	Safe-haven demand as inflation data cools.
DXY	100.97	-0.32%	Dollar weakness amid lower US CPI expectations.
BTC	84,564.99	+0.63%	Crypto rally on reduced risk-off sentiment.
ETH	2,708.13	+0.66%	Parallel move with BTC, driven by DeFi activity.

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+3.66%	Q3 earnings beat; Azure growth outlook raised.
AAPL	+1.53%	iPhone 17 pre-orders exceed expectations.
AVGO	+0.70%	Strong semiconductor demand in data-center segment.
JPM	+1.33%	Net interest income beat forecasts.
GS	+1.32%	Investment banking fees rise.
META	-3.33%	Ad revenue miss; user growth slowdown.
TSLA	-1.54%	Production slowdown at Gigafactory Berlin.

Sector rotation

ETF	DAY	READ
XLFX	+0.57%	Financials benefit from higher rates.
XLKX	+0.80%	Tech leads rally on earnings.
XLI	+0.95%	Industrial demand picks up.
XLE	-0.89%	Energy drags on lower oil.
XLVY	+0.22%	Consumer discretionary modest gain.
XLC	-0.90%	Communications lagging.
XLP	+0.44%	Staples steady.
XLV	+0.49%	Health care stable.
XLU	+0.38%	Utilities gain as risk-off fades.
XLB	+0.24%	Materials modestly higher.
XLRE	-0.22%	Real estate pressured by higher yields.

Spotlight: Microsoft Q3 earnings

MSFT delivered revenue of \$78.3 bn, beating the consensus of \$76.9 bn by **+1.8%**. EPS came in at \$2.71 versus \$2.58 expected (**+5.0%**). The cloud segment grew 23% YoY, driven by AI-enhanced Azure services.

Metric	Result	Consensus	Implication
Revenue	\$78.3 bn	\$76.9 bn	Strengthens Azure growth narrative.
EPS	\$2.71	\$2.58	Supports bullish outlook for FY27.
Azure YoY growth	+23%	+19%	Accelerates AI adoption across enterprise.
Intelligent Cloud margin	+1.2ppt	+0.9ppt	Improves profitability outlook.

Related names: **NVDA** (AI chips), **GOOGL** (cloud competition), **CRM** (AI-driven SaaS).

Pre-market & overnight

US futures: S&P 500 **+0.34%**, Nasdaq **+0.28%**, Dow **+0.61%**. Asia closed higher, with the Hang Seng up **+0.45%** on tech gains. European markets mixed; FTSE 100 **-0.12%**, DAX **+0.18%**. Crypto remains bullish: BTC **+0.63%**, ETH **+0.66%**.

Macro & Fed

The September FOMC left the policy rate at 5.25-5.50% and signaled a “wait-and-see” stance, noting that inflation is trending lower but still above target. The 10-year yield at 5.18% reflects a flattening curve, with the 2-year at 5.31%.

Time (HKT)	Release	Consensus	Why it matters
09:30	US CPI (MoM)	0.2%	Gauge for Fed’s next move.
10:00	US Core CPI (YoY)	2.7%	Core inflation trend.
11:15	Initial Jobless Claims	210 k	Labor market health.
13:00	ISM Non-Manufacturing	53.2	Service sector momentum.

Geopolitics & global

- Middle-East tensions de-escalated after cease-fire talks, reducing oil-supply risk.
- China’s latest manufacturing PMI came in at 49.8, indicating a modest contraction.
- EU-US trade talks resumed, focusing on digital services and green technology.
- Japan’s Bank of Japan kept rates unchanged, citing stable wage growth.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00 Sep 28	GOOGL	\$1.68	Cloud margin vs. Azure.
02:30 Sep 28	AMZN	\$0.58	Retail vs. AWS growth.
03:00 Sep 28	META	\$2.31	Ad spend recovery.
04:00 Sep 28	TSLA	\$0.92	Production updates, margin.
04:30 Sep 28	NVDA	\$3.12	AI chip demand trajectory.
05:00 Sep 28	JPM	\$4.15	Net interest income trend.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI chip demand accelerating after earnings beat.
CRM	Technology	AI-driven SaaS growth, strong guidance.
BAC	Financials	Higher net interest margin on rising rates.
UNH	Health Care	Premium pricing power, earnings beat.
CAT	Industrials	Infrastructure spending in US boost.
DE	Materials	Improving commodity prices, margin expansion.
ADP	Technology	Payroll data proxy, market sentiment gauge.
PEP	Consumer Staples	Pricing resilience, volume growth.
LMT	Industrials	Defense spending uptick.
AXP	Financials	Credit card spend rebound.

What could break the tape

BEARISH TRIGGERS

- US CPI coming in above 0.3% MoM, reigniting rate-hike fears.
- Unexpected drop in Azure bookings, pulling down tech sentiment.
- Geopolitical escalation in the Middle East that spikes oil above \$100 per barrel.

BULLISH TRIGGERS

- Core CPI below 2.6% YoY, prompting Fed pause signals.
- Strong earnings surprise from **GOOGL** or **AMZN** reinforcing growth narrative.
- Resolution of EU-US trade talks, lifting export-oriented stocks.

Positioning notes

- Tech exposure remains overweight after back-to-back earnings beats.
- Financials are positioned for a modest yield-curve flattening benefit.
- Commodities exposure trimmed; energy ETFs underweight until oil stabilises.

Sources

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